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UNITED STATES

Cooling US inflation points to the Fed holding steady

Another benign inflation report following hot on the heels of a poor July jobs report has seen markets increasingly doubt the resolve of Fed hawks to deliver rate hikes this year. We see four key reasons for the disinflation trends to continue and expect the Fed to hold rates steady for a prolonged period

Low July inflation at the core and headline levels indicate the Federal Reserve may keep rates on hold for a prolonged period

2.5% **Annual rate of core inflation**

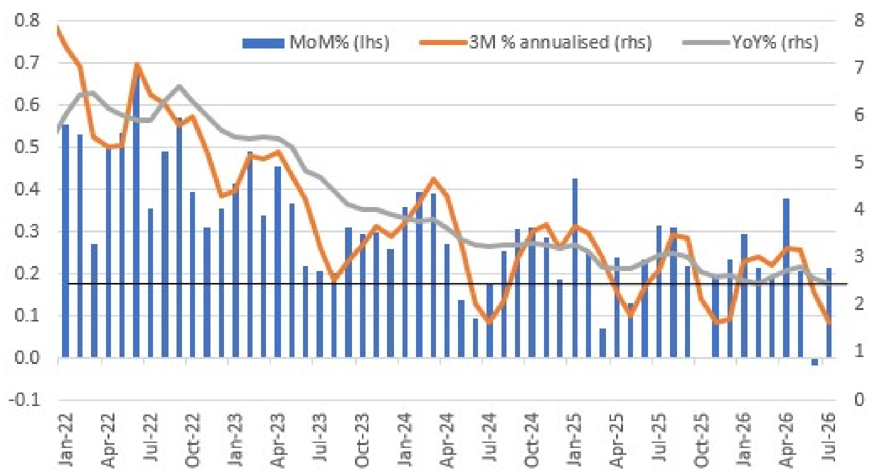
Inflation continues to cool

US consumer price inflation has come in as expected in July. After a remarkably benign June report, headline prices rose 0.1% month-on-month in July while core CPI (ex-food and energy) rose 0.2% MoM. This brings the year-on-year rate of inflation down to 3.4% from 3.5% for headline while core inflation is now running at 2.5% versus 2.6% previously. In terms of 3M annualised core inflation, we are now down to just 1.6%, which, after the poor jobs report last Friday, should leave the Fed hawks less confident on the need for a rate hike, but we do have another job and inflation print plus the annual Jackson Hole symposium before the next FOMC meeting on 16 September. This will limit the scope for significant market reaction today.

In terms of the details, gasoline prices fell 2.9% MoM while shelter was subdued at just 0.1% MoM with food (+0.1%), apparel (+0.1%) and new vehicles (+0.1%) and other goods & services (+0.1%) all very well-behaved. Used cars and trucks (+0.4%) and medical care (+0.4%) and education (+0.6%) were the main areas of elevated price pressures, but all experienced falls in June and the underlying story looks OK. The main issue remains airline fares (+2.2% MoM/ 25.5% YoY), which mainly reflects higher jet fuel. That can quickly correct lower on a deal in the Middle East. Overall, nothing here to change our view that the Fed is set for a prolonged pause well into 2027.

The chart below shows core CPI under different metrics. The black line represents 0.17% MoM, which is what we need the blue bars to average to bring the YoY rate to 2% over time.

Core inflation metrics



Source: Macrobond, ING

Four reasons for inflation to slow into 2027

Gasoline can continue to contribute to lower headline inflation – remember that the current oil price of around $83/bbbl is historically consistent with US retail gasoline prices of $3.80/gallon – below the current AAA measured average US price of $4 given refining margins have widened a touch. As such, if we get a deal to reopen the Strait of Hormuz and flow resumes, we should see margins compress, which will deliver lower gasoline costs.

Secondly, the heaviest weighted component in CPI is shelter, at 35% of the basket of goods and services, which is currently running at 3.2% year-on-year. Affordability is stretched by high prices and elevated mortgage rates with the current number of housing transactions on a par with the 2008-12 post-GFC environment. Consequently, home prices are barely rising 1% and rents are now falling outright in a growing number of states, according to data from Zillow and Realtor.com. We expect this dominant component to exert steady downward pressure on overall inflation over the next 12 months.

Thirdly, the biggest cost input for US corporates is not tech, tariffs or energy. It's the cost of workers. We've gone from a situation where, in 2022, there were two job vacancies for every unemployed American to being in balance today. This has taken a huge amount of froth out of wages. Moreover, the plunge in the quits rate – a measure of labour market churn – means companies are no longer having to pay up to retain staff. Private wage growth, according to the Employment Cost index, is rising just 3.1% YoY, the same as average hourly earnings. That is fully consistent with 2% consumer price inflation.

Then, rounding out the story, we have tariffs. They represent a one-off step change in prices. Now that we've arguably entered a less onerous tariff regime that includes lots of exemptions, we're increasingly confident that their upward influence on inflation will rapidly fade. Federal budget data show the International Emergency Economic Powers Act (IEEPA) 'Liberation Day' tariffs, that were struck down by the Supreme Court, are now being repaid to corporate America. In May, the new tariff system revenues were fully offset by the initial repayments of the IEEPA tariffs. June data showed the Treasury actually paid out $25.5bn more in IEEPA refunds than it received under all other tariffs, and we expect the July numbers, to be released later today, to show an even bigger net refund. This boost to corporate cash flow should mitigate cost pressures elsewhere and therefore maintain the disinflationary trend.

'Chipflation' fears are overblown

The rising cost of semi-conductors, attributed to the surge in demand from data centre construction, has led to fears of 'chipflation' with anticipated price hikes for laptops, mobile phones and games consoles featuring heavily in the media. But we should remember that computer and communication have a very small weight within the basket – just 0.7pp versus 35% for housing. They also use hedonic pricing, so quality improvements come into the calculation. Hence, why within CPI smart phones are currently falling 10.9%YoY, yet the base level for most phones has not changed – camera improvements, better quality battery life, more powerful processors mean that you get more for your money. For the purpose of the inflation calculation, it results in a price fall.

Prolonged pause from the Fed

We recognise that the Fed has missed its inflation target for the past five years. Nonetheless, progress does appear to be being made and consumer inflation expectations are within tolerable ranges, suggesting little risk of second-round price effects from the energy spike.

Meanwhile, market inflation expectations are benign, with 10Y break-even inflation rates in line with their 25-year average. The market is still pricing a rate hike from the Fed, but we see the more likely course of action is for the Fed to hold rates steady for a prolonged period, well into 2027.

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Disclaimer

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Stablecoins 101: Uncertain growth but the stakes are high

Stablecoins saw significant growth in 2025, drawing attention from issuers and regulators alike. Still, their long-term prospects remain uncertain. In the first article of our new series, we explore what stablecoins are, what could drive adoption, and why their future matters

Despite a sharp expansion, stablecoins now account for only about 7% of the broader crypto market

Executive summary

Stablecoins have seen significant growth over the past few years, reaching nearly US$300bn in market capitalisation at the end of 2025. This rapid expansion has come with heightened attention from both regulators and potential issuers. However, the future of the crypto asset remains uncertain as further growth depends on whether it can develop beyond the crypto-landscape and expand into the broader payment world.

In our view, part of the path to becoming a broadly adopted instrument depends on the presence of a regulatory framework and interoperability with existing payment systems. However, estimating the future growth of stablecoins is difficult, as it requires predicting their relative attractiveness compared with alternative payment systems such as central bank digital currencies and tokenised deposits in a rapidly evolving

market.

While the jury is still out on how widely stablecoins could be adopted, it is important to consider a scenario in which uptake becomes significant, as this could have serious implications for financial stability, the banking sector, emerging markets, and monetary policy.

Despite the growing attention, many questions remain about what stablecoins are, how they work, and what role they could ultimately play in the financial system. In this piece, we explain the fundamentals of stablecoins, review recent market and regulatory developments, and explore the factors that could shape their future adoption. While the market is evolving quickly, their long-term prospects remain highly uncertain. Their eventual role in payments and savings will depend not only on regulation but also on whether they can compete with existing and emerging forms of digital money. In future publications, we will examine the implications of broader stablecoin adoption in more detail.

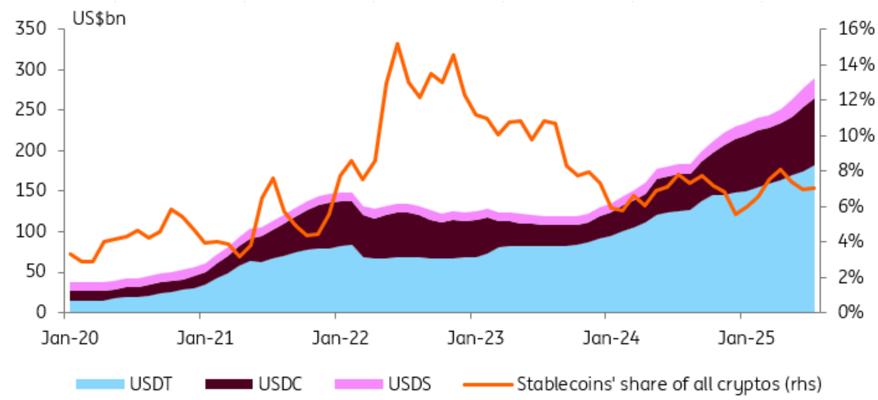
What are stablecoins?

Stablecoins are crypto assets issued by private institutions that promise a stable nominal value in a given currency, commodity or pool of assets. They are not issued or backed by a government or central authority but rather by a private institution and secured by segregated reserves. The crypto asset is issued on a Distributed Ledger Technology (DLT) (i.e. a blockchain) with three existing types of pegging mechanisms:

1. **Fiat-collateralised** stablecoins: backed 1:1 by reserves of cash or liquid assets. These are the most common and utilised type of stablecoin, currently representing over 90% of all stablecoins. We will focus on these in this piece.
2. **Crypto-collateralised** stablecoins: backed by over-collateralised crypto assets. The issuance of these stablecoins tends to be restricted by regulations such as the EU's Markets in Crypto-Assets Regulation (MiCAR).
3. **Algorithmic** stablecoins: not backed by real assets, but the peg to the chosen currency is maintained by a dynamic adjustment of the token's supply using algorithms or "smart contracts". Following the crash of the Terra project in 2022, algorithmic stablecoins now represent only a fraction of all stablecoins.

The total market capitalisation of stablecoins has surpassed US$300bn globally, 99% of which is USD-pegged tokens. While still dwarfed by bank deposits, the rapid growth of the sector over the past five years (up by $250bn) has drawn considerable attention. Despite the sharp expansion, though, stablecoins now account for only about 7% of the broader crypto market, a decline from their 2022 peak, as the market capitalisation of other cryptocurrencies has grown even faster.

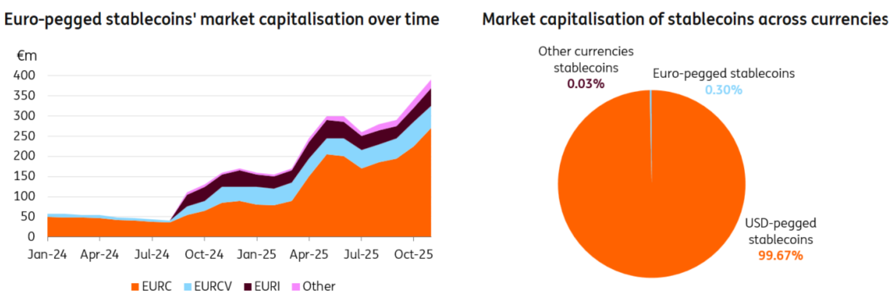
Selected stablecoins' market capitalisation over time & share of all cryptocurrencies



Source: ING Research, IMF / USDT = Tether, USDC = Circle, USDS = Sky Protocol

Euro-pegged stablecoins still only represent a fraction of all stablecoins in use, but their market capitalisation grew from €50m in early 2024 to nearly €400m at the end of 2025. Euro stablecoins remain in their infancy, accounting for only about 0.3% of the global stablecoin market despite recent progress.

Euro-pegged stablecoins remain at a nascent stage



Source: ING Research, ECB / EURC = Euro Circle, EURCV = Coinvertible, EURI = Eurite

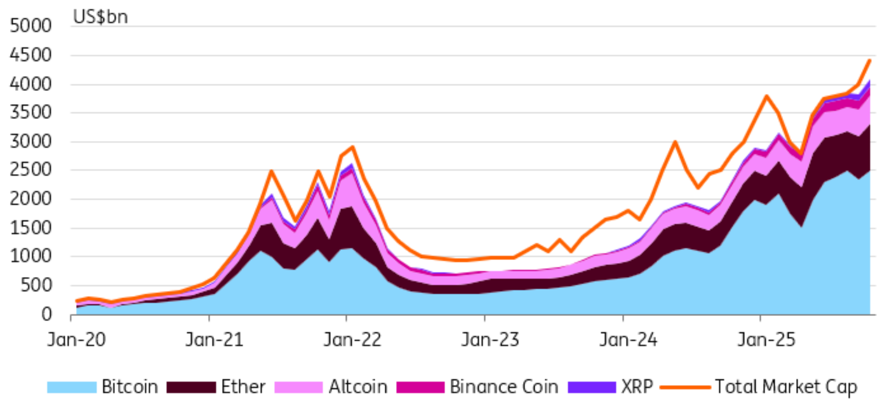
Available data shows that the use of stablecoins remains limited in the larger frame of global payments. Yet the sector's very rapid development over the past years suggests that could change. The new digital currency is forecast to grow exponentially, reaching anywhere between $900bn and $4.2tr by 2030. The wide variation in projections underscores just how hard it is to forecast the trajectory of stablecoins over the coming years. Indeed, **stablecoins' growth will depend on several factors: the regulation in place, interoperability with existing payment systems and, importantly, their use cases and relative attractiveness versus other payment systems (new or existing)**. The next section delves into other technologies that could influence the growth (or lack thereof) of stablecoins.

How do stablecoins differ from other digital & crypto currencies?

Unbacked cryptocurrencies

Stablecoins are a form of crypto asset, but they differ from other cryptocurrencies by holding segregated reserves designed to maintain a one‑to‑one value with a chosen reference currency. This is not the case for “real” cryptocurrencies that are also issued and transferred using Distributed Ledger Technology (DLT) but not backed by liquid assets. These unbacked cryptocurrencies are, therefore, much more volatile and used mainly for investment and speculative purposes. Taken together, cryptocurrencies’ market capitalisation reached nearly $4500bn at the end of 2025, about three times the level in early 2024.

Selected cryptocurrencies market capitalisation over time



Source: ING Research, IMF

Beyond stablecoins and unbacked cryptocurrencies, a new wave of digital currencies is gaining traction among both prospective issuers and regulators.

Tokenised assets

Tokenised assets are digital representations of real‑world assets on a distributed ledger infrastructure. A wide range of underlying assets can be tokenised, including securities, bank deposits, and real estate.

Tokenisation is increasingly being explored for bank deposits, where the deposit itself is represented, stored, and issued on a DLT. Each token corresponds to a direct claim on a regulated commercial bank and remains on that bank’s balance sheet. Unlike stablecoins, tokenised deposits do not circulate as bearer instruments but are tied to identified account holders.

The usage of tokenised deposits currently remains limited and mostly experimental. However, tokenised deposits can modernise payment and settlement infrastructures, as well as intragroup liquidity management. They promise faster settlement (near-instant, in fact), 24/7 transactions, programmability, and lower operational frictions (reducing reliance on multiple intermediaries). Tokenised deposits also offer regulatory advantages, as they remain fully within the existing supervisory framework; the underlying assets stay on commercial banks' balance sheets, preserving the same oversight and prudential standards applied to traditional deposits.

Central Bank Digital Currencies

Central Bank Digital Currencies (CBDCs) are digital forms of money that allow users to pay each other using a direct claim on the central bank. In other words, it aims to reinvent central bank money (cash and coins) in a digital form. CBDCs are often compared and opposed to stablecoins, but the main difference is their direct claim to the central bank. They are issued and maintained by the central authority, often but not systematically using DLTs.

CBDCs can be built for retail or wholesale use (for interbank settlements and large-value transfers). Only a few CBDCs are currently in use in the world (Bahamas, Jamaica, Nigeria and China with a large-scale pilot). But over 100 countries have projects to develop their own digital currency. This includes the EU, which is currently developing its own retail CBDC (the digital euro) and aiming for a 2029 launch. Read more on this in our piece *The digital euro is making progress, European banks should pay attention*.

In addition to the digital euro, the EU is looking at developing a wholesale DLT settlement strategy. The near-term project 'Pontes' will leverage existing T2 infrastructure and provide immediate central bank money settlement. It's expected to be launched in 3Q 2026. The European Central Bank also plans a full DLT-based wholesale CBDC ecosystem under the 'Appia' initiative, with a blueprint expected in 2028.

To summarise the four digital currencies discussed, the table below highlights the key differences across their main attributes.

Currencies comparison table

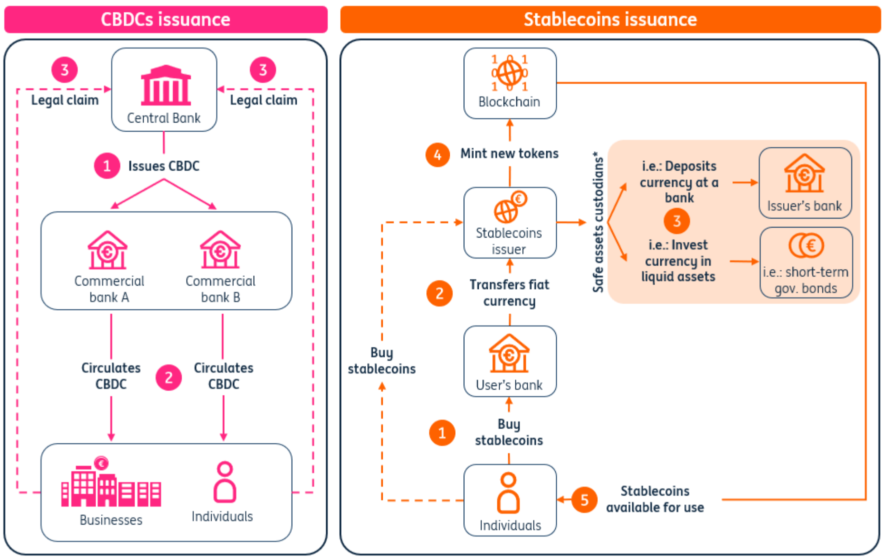
	Stablecoins	CBDCs	'Real' cryptos	Tokenised deposits	Bank deposits	Cash
Digital	Yes	Yes	Yes	Yes	Yes	No
Public	No	Yes	No	No	No	Yes
Blockchain use	Yes	Possible	Yes	Yes	No	No
Programmable	Yes	Possible	Yes	Yes	Possible	No
Use without intermediaries	Yes	Possible	Yes	No	No	Yes
Large price volatility	Limited by pegging mechanism	No	Yes	No	No	No
Means of payment role	Yes	Yes	Not in the wider economy	Yes	Yes	Yes
Unit of account role (used for invoicing)	Yes	Yes	Not in the wider economy	Yes	Yes	Yes
Store of value role	Potential, especially if remuneration allowed	Not if implementation of holding limits	No	Linked to real-world bank deposits	Yes	Yes
Regulation	Fragmented	National	Fragmented	Yes	Yes	Yes

Possible No Yes

Source: ING Research

Both stablecoins and CBDCs aim to create a more digital and efficient means of payment, yet they are often portrayed as competing alternatives. Despite this, the two forms of digital money differ significantly. Their key differences can be illustrated through their issuance models, shown in the flowchart below.

CBDCs versus stablecoins issuance flow



Source: ING Research *examples of safe asset custodians, can vary depending on the regulation in place

The approach to stablecoins and CBDCs varies across the globe, with notable differences between the US and Europe. The transatlantic divide became increasingly apparent in the summer of 2025, when the US moved to support dollar-backed stablecoins while prohibiting the issuance of a CBDC. Europe has taken a different approach, arguing that a CBDC, the digital euro, would enhance regulatory oversight through issuance and supervision by the European Central Bank.

Given the starkly different political approaches across jurisdictions, stablecoins are likely to evolve as primarily domestic or regional instruments, a dynamic that could shape and, potentially, constrain their overall growth potential.

For stablecoins to become systemically important, their use needs to extend beyond the crypto ecosystem into the broader, global, payments world. However, political positions are already signalling resistance to a global (dollar-pegged) stablecoin, with policymakers instead encouraging the development of multiple domestic stablecoins denominated in local currencies.

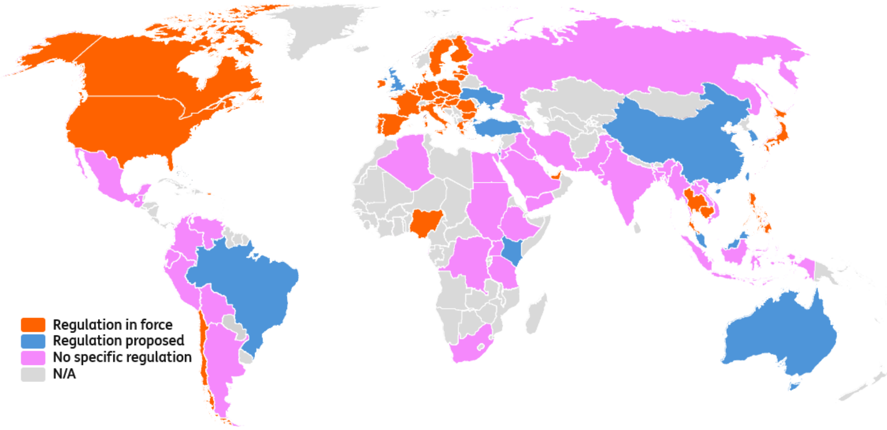
The absence of regulatory harmonisation reinforces this trend. Stablecoin issuers must adapt to each jurisdiction's rules, limiting cross-border scalability and undermining the emergence of a single dominant global stablecoin. The next section outlines the regulatory divergences across the US, EU, and UK.

Large regulatory differences and crucial remuneration uncertainty

Currently, 12 countries have stablecoin regulations in force, and another 10 have proposed texts that are not yet approved. The strongest stance against the issuance of stablecoins comes from China, where they're banned. This partly stems from the government's push for its CBDC; stablecoins are therefore viewed as direct competition.

The main laws are in place in the trading hubs, while other markets still lack specific stablecoin and crypto asset regulations. Despite recent developments at the national or regional level, there's an absence of international harmonisation and coordination on the topic.

Distribution of current stablecoin regulations worldwide



Source: ING Research, Visual capitalist

Because of the lack of international harmonisation on stablecoin oversight, existing regulatory frameworks diverge in several ways. The most important difference concerns the management of the safe assets. Indeed, issuers face various types and levels of restrictions for the segregated reserves. This could influence stablecoins' potential impact on the financial system.

Under US regulation (GENIUS Act), issuers must hold at least $1 of permitted reserves for every $1 of stablecoins issued. Permitted reserves include (but are not exclusively) cash, deposits held at commercial banks, short-dated treasury bills and other similar government-issued assets approved by regulators. The absence of specific limits or thresholds on each of these options gives USD-stablecoin issuers a relatively large degree of freedom to allocate their reserves.

This isn't replicated in the European legislation. MiCAR sets stricter requirements for E-Money institute issuers. These institutions (if systemic) are required to hold at least 60% of the safe assets as commercial banks' deposits (30% if non-systemic issuers). They're allowed to hold 40% of their reserves in liquid government bonds (70% if non-systemic issuers).

While the UK is still drafting its final stablecoin regulatory framework, the latest proposal includes restrictions on reserve investments. For systemic issuers, the Bank of England proposes prohibiting the use of commercial bank deposits and requiring that at least 30% of backing assets be held as non‑remunerated central bank deposits. The remaining 70% could be invested in short‑term government debt. The central bank argues that allowing commercial bank deposits as backing could introduce financial, operational, and contagion risks that could amplify a stress across the sector. Additionally, the UK is the first country to propose a temporary issuance guardrail for systemic issuers, limiting the amount of stablecoins issued to £40bn per issuer for an unspecified temporary period.

While myriad other divergences exist, we also note one convergence between the US, EU and UK regulatory frameworks: the ban on remuneration distribution. All three regimes prohibit stablecoin issuers from paying interest to holders. In the US, where broader crypto market legislation is still under negotiation, this restriction is heavily debated and could ultimately be revised.

Interest payments by stablecoin issuers remain prohibited in most jurisdictions. This restriction is central to the regulatory architecture, as it directly shapes stablecoins' appeal as a store of value and influences both adoption dynamics and its potential footprint in the broader financial system.

The table below summarises the main differences between the three regulatory frameworks. Read more on the various regulatory frameworks in the footnotes.

Summary of the US, EU and UK stablecoins regulatory frameworks

			US[1] Genius Act	EU MiCAR		UK[2] Regulation	
				E-money institute	Credit institution	Non-systemic issuers	Systemic issuers
1.	**Access to central bank**, lender of last resort		**Case-by-case** Fed decision	**Forbidden**	**No restrictions**		Bank of England **considering** backstop facility
2.	**Asset investment policy**	**Central Bank deposit**	**Case-by-case** Fed decision	**Forbidden**	**Allowed**	**Allowed**	**Required** i) ≥30% of assets; ii) unremunerated
		Commercial bank deposit	**Allowed** upper limit to be specified	**Required** ≥60% of assets (≥30% if non-systemic)	**Allowed**	**Allowed**	**Forbidden**
		Government bonds	**Allowed** ≤3m maturity	**Allowed** <40% of assets (<70% if non-systemic)	**Allowed**	**Allowed**	**Allowed** <70% of assets
3.	**Stablecoins remuneration**		**Forbidden** for issuer only	**Forbidden** for issuer and crypto-asset service providers (CASP)	**Forbidden** for issuer and CASP	**Forbidden** for issuer	**Forbidden** for issuer
4.	**Issuance guardrail**		None	None	None	N/A	Temporary £40bn

Source: ING Research, Fed, European Commission, BoE

1 US has three license levels: for a) bank and b) non-banks at federal level, and c) one at state level for smaller institutions. 2 Proposed UK-regime based on June 2026 proposal in Bank of England consultation

…driving the key uncertainty on stablecoins' uptake

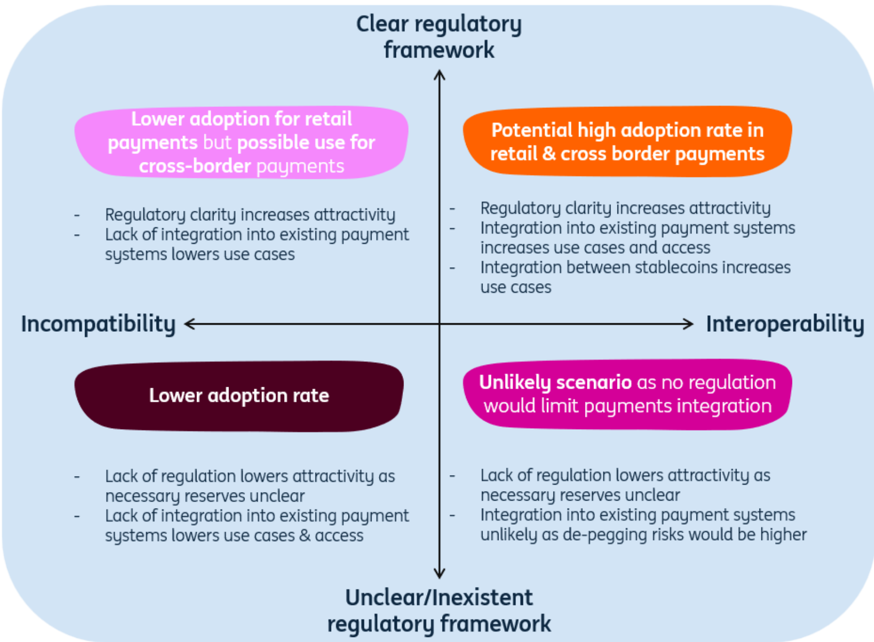
Stablecoins' rapid growth over the past few years, in association with the lack of regulation, has raised concern for central banks across the world. Depending on future growth and use cases, stablecoins could have a significant impact on financial stability. For this to materialise, stablecoin use and adoption would have to go beyond the niche crypto-ecosystem and extend to the payment landscape.

While stablecoins have grown significantly over the years, they are not currently "broadly adopted". Currently, there's no set threshold determining what would constitute this broad adoption. Furthermore, the development of the crypto asset over the next few years remains unclear. In our view, the adoption uptake would depend on its use for two things:

- Payments
- As a store of value

Starting with the use of stablecoins in payments, there are three main variables. The first two factors are the presence of a regulatory framework and the degree of interoperability between stablecoins and existing payment systems. Mapping these variables produces a quadrant that illustrates four potential development paths for stablecoins.

Potential development of stablecoins in retail payments



Source: ING Research

A scenario with both a clear regulatory framework and full integration of stablecoins into existing payment systems would provide fertile ground for meaningful adoption in payments. However, the extent of such uptake depends on the third variable: the attractiveness of other payment systems (new and existing ones).

The existence and development of alternatives such as tokenised deposits and central bank digital currencies might limit the relative attractiveness of stablecoins. Even though payment systems in Europe remain relatively cheap and fast, that experience is far from universal internationally. For regions where payments are costly and slow, introducing new technologies such as tokenisation into existing systems could allow them to rapidly close the gap with the advantages stablecoins offer, and potentially emerge as direct competitors to the crypto asset.

There is also a potential political push toward adopting central bank digital currencies, a dynamic relevant not only for jurisdictions with high payment costs but for the EU as well. The digital euro has become a central topic in the 'strategic payment autonomy' discussion and could directly compete with stablecoins for day-to-day payment use.

When it comes to the use of stablecoins as a store of value, a significant uptake would depend on two points:

- Whether direct remuneration by stablecoin issuers is allowed. The current ban on direct remuneration in major jurisdictions does little to support the use of stablecoins as deposit-like instruments, except in countries where real interest rates are negative. However, we can't exclude regulatory changes in coming years, especially as the topic is currently under discussion in the US with the upcoming Clarity Act. Read more on this in our regulatory footnotes below.
- The interest rate level paid on alternative deposit accounts (such as traditional bank deposits), as stablecoins could become more of a competitor to traditional deposit accounts in an environment where interest rates are zero or close to zero (which has been the case in the EU in recent years and is still the case in the US).

Only if, and with the right combination of these factors, could we foresee the adoption of stablecoins growing significantly to become broadly adopted. Yet, at present, it remains difficult to estimate the direction the crypto asset will follow in the years ahead.

Potential implications of stablecoins

Although stablecoins are not yet widely adopted and their future trajectory remains hard to pin down, our forthcoming articles will explore a scenario in which they scale enough to become a meaningful payment system. We see this as a necessary exercise: broad stablecoin adoption could carry significant and far-reaching implications for the financial system – spanning the banking sector, emerging market stability, safe asset demand, monetary policy transmission, and even geopolitical and cyber-risk dynamics.

Indeed, research has found that upon broad adoption, stablecoins could drive significant changes in banks' funding. Depending on the required reserves, this could translate into either a net drop in retail deposits or a switch from retail into wholesale deposits (as MiCAR requires stablecoin issuers to hold part of the reserves in EU commercial banks). Overall, it could make banks' funding structure more volatile as wholesale deposits are known to be less steady funding sources than retail ones (which are rarely moved across institutions). Also, wholesale deposits are costlier to hold for banks as the regulation imposes higher capital requirements, reflecting their higher volatility and general risk level.

Stablecoins could also have implications in emerging markets through currency substitution. It could amplify depreciation pressures under stress episodes by lowering friction around moving local currency into USD stablecoins. Countries with weak monetary credibility (i.e. high inflation, low interest rates) make stablecoins an attractive store of value and payment means, even outside stress episodes. The outflow to stablecoins could further undermine monetary policy transmission.

USD stablecoins also have the potential to boost demand for short-term US treasuries as issuers look for safe asset reserves. In principle, quick changes in transaction-driven demand could then amplify volatility in rates under a stress scenario. The proliferation of stablecoins (regardless of the currency) may also shift the composition of the overall monetary base with an asset reallocation from bank deposits into treasury/government bonds. This means potentially weaker monetary policy transmission through both the credit and interest rate channels.

While all these points remain theoretical implications of stablecoins, regulators are increasingly concerned and estimates on those impacts are developing. In future reports, we aim to contribute to the growing body of literature on this subject by diving deeper into each of these potential implications, seriously considering a scenario where stablecoins become a broadly adopted payment system.

Stablecoins are growing but the jury is still out on how big they'll get

Over the last few years, the market capitalisation of stablecoins has grown significantly, attracting the attention of both potential issuers and regulators across the globe. However, when it comes to the development of the crypto asset, it remains difficult to estimate an exact path. In our view, the growth of stablecoins in the coming years could be limited or strong depending on their uptake in both payments and as a store of value. Part of this growth to become a “broadly adopted” instrument depends on the existence of a regulatory framework and the interoperability with existing payment systems. The difficulty in estimating stablecoin growth comes from predicting the relative attractiveness versus alternative payment systems (new or old) as the sector quickly evolves.

It's important to consider a scenario where the use of stablecoins increases significantly, as this could have serious implications for financial stability, the banking sector, and emerging markets, as well as monetary policy. Therefore, in our upcoming series of articles, we will dive into potential impacts in more depth, starting with the implications of “broadly adopted” stablecoins for financial institutions.

Regulatory footnotes

The United States' GENIUS Act

Adopted in July 2025, the Guiding and Establishing National Innovation for US Stablecoins Act (GENIUS Act) establishes a regime to regulate US payment stablecoins. Despite the enforcement starting in January 2027, the mere adoption of the GENIUS Act had an immediate effect on USD-denominated stablecoins, with net stablecoin creation growing from about $10bn in 2Q25 (before the regulation) to over $45bn in 3Q25, a 324% increase in just a couple of months.

The regulation permits stablecoins to be issued by banks, credit unions and certain non-bank entities (although non-bank issuers are limited to financial firms unless the Stablecoin Certification Review Committee (SCRC) unanimously determines that they do not pose a risk to the banking or financial system).

Issuers face tailored capital, liquidity, and risk management rules but are not subject to the regulatory capital standards for "traditional" banks. Banks issuing stablecoins are regulated by the Federal Reserve, while non-banks fall under the Office of the Comptroller of the Currency (OCC) oversight.

Aside from permitted issuers, the GENIUS Act also clarifies stablecoin requirements. I**ssuers must hold at least $1 of permitted reserves for every $1 of stablecoins issued**. Permitted reserves include (but are not limited to) USD cash, deposits held at commercial banks, short-dated treasury bills and other similar government-issued assets approved by regulators.

Additionally, issuers of the digital currency must comply with several transparency and reporting requirements, including regular reporting on the reserve composition, and must run audits by public accounting firms. They are required to disclose the redemption procedures and comply with the US Bank Secrecy Act as well as tailored Anti-Money Laundering and Counter-Terrorism Financing (AML/CTF) rules.

The GENIUS Act also currently prohibits issuers from paying interest to stablecoin holders. However, the topic is open to discussion in the US as the proposed CLARITY Act (which aims to clarify the broader crypto asset regulatory landscape) could include the possibility for stablecoin issuers to distribute customer rewards.

The EU's Markets in Crypto-Assets Regulation (MiCAR)

MiCAR was adopted in 2023 and covers a wide range of crypto assets. The stablecoin rules gradually came into force through the end of 2024. They apply to both issuers and entities offering trading, custody, exchange and advisory on crypto assets. **MiCAR classifies crypto assets in three categories**:

- **Asset-Referenced Tokens** (ARTs): stablecoins backed by a basket of assets such as fiat currencies or commodities
- **E-Money Tokens** (EMTs): stablecoins pegged to a single fiat currency
- **Other crypto assets:** including decentralised cryptocurrencies and other tokens (not falling into the first two categories)

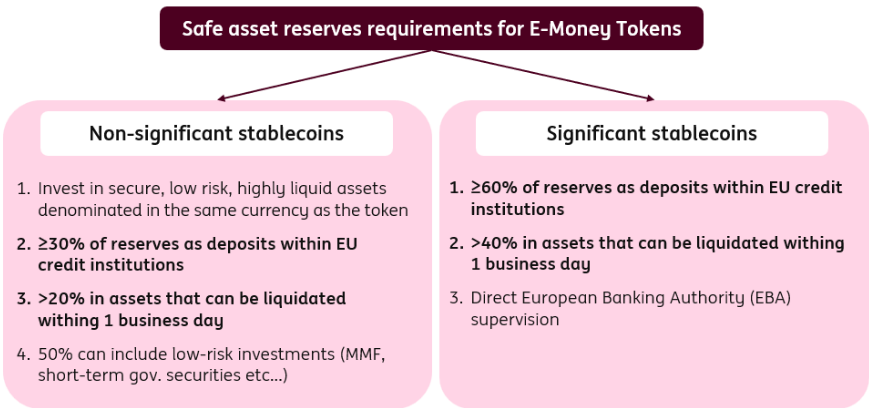
The regulation clarifies which entities are allowed to issue crypto assets in the Union, namely credit institutions and Authorised Electronic Money Institutions (EMIs). In addition, the EU differentiates cryptocurrencies by their size, including specific requirements for the largest assets**.**

Stablecoins are considered significant when (but not only):

- The **number of holders** is larger than **10m**
- The **value of the token** issued (market capitalisation or size of the reserve of assets) is higher than **€5bn**
- The **average number and transaction value per day** are higher than **2.5m and €0.5bn,** respectively

Under MiCAR, stablecoin issuers are required to have a legal entity established in the EU. The regulation sets out a list of requirements for stablecoins issued in the EU, starting with the prohibition on the distribution of interest on the tokens. It also establishes requirements for stablecoin reserves. For E-Money Tokens (EMTs) specifically, regulatory requirements differ depending on whether the issuer is classified as significant or not. The graph below summarises the safe assets requirements depending on the size of the stablecoin issuer.

MiCAR safe asset requirements per stablecoin issuer type



Source: ING Research, MiCA Regulation

Additionally, all issuers of stablecoins in the EU are subject to transparency and reporting requirements, including the publication of whitepapers on the token's functionality, risk and technology. Issuers must run quarterly stress testing and comply with the Union's AML/CTF rules.

The UK's upcoming regulation

In June 2026, the Bank of England published a policy statement and draft rules for systemic stablecoin issuers. The BoE's approach to stablecoin regulation varies from existing frameworks as it plans to ban systemic issuers from holding part of their reserves with commercial banks.

The central bank argues that this decision is warranted by the financial, operational, and contagion risks that could arise between stablecoins and the broader financial system during periods of stress. This stance contrasts with the EU stablecoin regulation that requires issuers to hold part of their reserves as commercial bank deposits.

Issuers would therefore be required to hold at least 30% of the reserves in unremunerated BoE deposits and the remaining 70% in short-term UK government debt securities with a residual maturity of up to six months.

The draft rule sets aside the individual holding limit requirement announced previously and instead proposes a temporary issuance guardrail to mitigate risks to credit provision. Each systemic stablecoin issuer will be subject to an initial maximum issuance of £40bn. This limit would be reviewed, loosened and ultimately removed; the BoE doesn't include a timeline for such phasing out. If enforced as such, the UK would be the first country to officially regulate the amount of stablecoins issued, even on a temporary basis.

The proposal plans to require systemic stablecoin issuers to conduct an overall risk assessment to identify, monitor and mitigate risks. Additionally, it sets minimum capital requirements composed of six months of the issuer's relevant operating expenses or the cost of executing its recovery plan. It also requires notifying the central bank when its capital falls below 110% of the minimum requirements.

The Bank of England plans to install a statutory trust mechanism comprising two trusts: one to protect coinholders' interests and the other to cover the costs of returning value to them. Stablecoin issuers will thus be required to segregate the assets used for reserves and appoint third-party custodians to hold these. The proposal also includes a prohibition on the payment of interest and income to coinholders.

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Article | 18 August 2026

RATES SPARK

Rates Spark: What the... is going on?

Lots of supposition out there on the drivers of higher long-end yields. A chunk of it is simply a move to a tad above normal. Higher US real rates is the engine. Getting to normal rates is a minimum ask (hope the BoJ is attentive). Eurozone rates suffer to boot on added energy and climate-related inflation concerns, as well as resuming issuance concessions

Even with the rise in real yields, we are only a little above what we consider 'normal' rates

It's all about US real yields, for the long end in particular

We could tell a long story with numerous angles, but there is one theme that cuts through the lot – the elevation in US real yields. That's what's going on. In the past six months, practically 100% of the rise in US 10yr nominal yield has come from a rise in the real yield.

Drivers? Is AI-induced long-duration issuance pressure the latest narrative? In part, yes, agreed. It's up 10-fold relative to only a couple of years back. But we're not sold that this is *the* explainer. Heavy corporate issuance is typically not a problem if there is strong demand, and there is strong demand. Credit spreads remain contained to boot. It's only a part of the narrative, and nowhere near the largest part.

There is absolutely the issue of higher issuance generally, globally, reflecting higher fiscal deficits right across developed markets. We'd argue that this is a bigger issue than the aforementioned AI issuance spree. Fiscal deficits are not contained, and the longer they remain un-anchored, the more persistent is the anticipation for more issuance into the medium term. It's an issue that has been with us for years now, and so not new. But absolutely relevant, as it's persistent and not going away any time soon.

But we should not forget that a lot of the move is real yields simply getting back to more 'normal' levels. Before the Iran war, the 10yr real yield was 1.7% (low versus before the great financial crisis). It's now 2.4%, which is actually close to normal (a 2+% handle would be normal). That, in fact, is the biggest explanatory piece.

We've long argued that 4.5% is 'normal' for the US 10yr yield. And for the eurozone, that translates to 3% for the 10yr. We're now running at some 20bp above these normal valuations. That 20bp can be explained by issuance pressure (bad) / productivity expectations (good). The latter refers to the AI productivity revolution, which has a direct theoretical link to the real yield – another important piece.

And what about the Iran war effect? Simple optics suggest the 10yr yield rose as the Iran war kicked off, the oil price spiked and inflation rose. However, despite this, inflation expectations (break-even inflation) are contained (10yr inflation break-even at 2.25% in the US and the eurozone is absolutely fine if a moderate inflation risk premium of 25bp is included i.e. implies inflation of around 2%). So, interestingly, the rise in long yields is actually not down to higher inflation expectations, as they remain contained. Quite the juxtaposition.

That aforementioned 20bp extension above normal can extend towards 50bp (US 10yr @ 5% and Eurozone 10yr @ 3.5%). But only at the extreme, and likely only temporarily. Sustained breaks above that would risk some crisis thinking, which would ultimately prove self-correcting. In fact, averaging in the region of here is very probably a decent medium-term strategy once we get past the negative market-to-market risk on longs still probable over the immediate few months.

And for the eurozone – a lot of near-term negatives

The German 10y yield climbed above 3.25% on Tuesday, thus clearly breaking above the peak levels over this crisis thus far. It is hard to pin down one particular driver. Rather, we are dealing with a confluence of factors that has led to the latest elevation in rates.

In the eurozone, the backdrop is the European Central Bank, which looks set to hike rates again in September. In addition, there are dwindling prospects of finding a solution to the conflict in the Middle East. But more specifically in Europe, perhaps, it is that markets have been somewhat more sensitive to the concurrent elevation in gas prices, given also the lagging efforts to replenish storage into the upcoming heating season. Add to that the drought-related supply chain issues, but also ECB Chief Economist Lane is already pointing out climate-related food inflation over *next* summer. Relative to its US peers, EUR rates are facing more pressures in terms of inflation risk premia and expectations, and this has now put more upward pressure on the front end out to the belly. But also the long end is not spared. Keep in mind that the EUR issuance is also seeing a comeback following the summer break. That included an early syndicated 30y Bund tap.

The list of near-term positives for rates? Other than high absolute yield levels now, they are hard to make. But the higher rates are feeding back into some equity softness, which might take some steam out of the upside dynamic. But looking at the overall tally for EUR rates, it might explain why e.g. 10y Bund yields failed to follow 10y US Treasury yields lower when they found relief after coming close to the 4.75% mark.

Wednesday's events and market view

Following the UK's CPI data, the only notable events over the course of the European session are ECB President Lagarde's appearances at the IBC meeting, including a panel session on the 'global economic outlook'. The eurozone will also release final inflation data for July.

Only later will we also get the July FOMC minutes, likely to be closely followed given the muddled messaging from new Fed Chair Kevin Warsh at the last press conference.

In the primary market, Finland has mandated banks for a new 7y benchmark. Germany will auction €6bn in 10y Bunds and the US Treasury will later auction a new 20y bond for US$16bn.

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Article | 18 August 2026

COMMODITIES DAILY

The Commodities Feed: Oil extends gains on supply concerns

Oil prices remained supported by rising geopolitical risks and supply concerns

Brent's rally has continued to extend

Energy - Brent extends rally above $91/bbl

Oil prices extended gains for a third consecutive session, with ICE Brent trading above $91/bbl. Sentiment remained supported by US President Donald Trump's decision not to extend the US-Iran peace agreement and continued security concerns in the Strait of Hormuz, raising fears of supply disruptions.

Saudi Arabia is reportedly offering crude cargoes from locations off the coast of Oman, signalling efforts to expand export routes outside the Persian Gulf. Saudi Aramco is marketing Arab Medium and Arab Heavy grades via ship-to-ship transfers from terminals including Sohar.

Chinese refinery throughput fell 15.8% year-on-year to 12.5m b/d in July, highlighting weak refining activity. Apparent oil demand also declined 17.5% YoY to 12.04m b/d amid softer industrial activity, weak refining margins and growing EV adoption.

US natural gas prices fell 3.5%, pressured by rising production, cooler weather forecasts and comfortable storage levels. Inventories stood at 3.15Tcf as of 7 August, 6.7% above the five-year average.

Middle distillates strengthened further, with the ICE gasoil crack nearing $76/t. Support came from reports of Ukrainian attacks on Russia's Ust-Luga processing facility and ongoing Russian diesel export restrictions. Reflecting tighter market expectations, speculative net-long positions rose for a sixth consecutive week to their highest level since February.

Metals – Gold extends rally; copper squeeze deepens

Gold extended its recent advance, with prices holding above $4,400/oz after rebounding sharply from July lows near $3,900/oz. The move has been supported by a weaker US dollar and growing market conviction that the Federal Reserve is close to the end of its tightening cycle, reducing the headwind from higher interest rates. Ongoing geopolitical tensions in the Middle East have also continued to underpin investor demand. Markets will look to the release of the Fed's latest meeting minutes for further direction, while developments in the Middle East remain a key upside risk for prices.

In base metals, copper prices pushed higher, with three-month LME copper trading above $14,000/t and approaching the record highs reached earlier this year. The rally continues to be driven by tightening nearby market conditions. The LME copper tom-next spread surged to a premium of $75/t yesterday, marking the widest spread since January, as a growing supply squeeze intensified ahead of potential import tariffs. Meanwhile, the cash/3m copper spread traded at a premium of $545/t yesterday, highlighting tightness in spot supplies.

Ongoing shipments to the US ahead of a potential refined copper import tariff, combined with Chinese buying, have reduced available inventories in the LME warehouse network and tightened prompt supply. While LME stocks saw a modest increase recently, inventories remain near multi-month lows and physical market indicators continue to point to limited metal availability. Near-term supply tightness is likely to keep the market well supported, particularly if demand linked to electrification, data centre expansion and grid investment remains resilient.

Meanwhile, Chinese primary aluminium production rose 3.8% YoY to 3.9mt in July, supported by healthy smelter margins. Output reached 27.2mt over January-July, up 3.8% YoY. In contrast, crude steel production fell 3.6% YoY to 76.9mt, the lowest level since December 2025, as weaker demand continued to weigh on the sector.

Chinese imports of unwrought aluminium and aluminium products fell 22% YoY to 280kt in July, while steel imports declined 2.1% YoY to 440kt. Alumina exports increased 33% YoY to 300kt, with year-to-date shipments up 21.7%, highlighting strong overseas demand.

Agriculture – Coffee backwardation hits record on supply tightness

The September-December coffee spread widened to a record US¢27/lb backwardation for 2026 contracts as traders rushed to cover short positions ahead of September expiry. Tight nearby supplies continue to support the market, with harvest delays in Brazil slowing bean deliveries and pushing exchange inventories to their lowest level since 2023. In Colombia, a deadly earthquake has added to logistical disruptions following earlier weather-related damage. While Brazil is expected to harvest a large crop in 2026/27, near-term supply remains constrained.

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Article | 18 August 2026 FX

FX Daily: Energy and long bonds remain points of attention

In an otherwise reasonably benign environment, the drift higher in energy prices and longer-dated bond yields are proving points of attention. Both are mildly dollar-supportive in that they make it difficult to completely dismiss the chances of tighter Fed policy. Having bounced back from range lows yesterday, the dollar can hold gains in the near term

Higher energy prices and long bond yields are providing the dollar with some support

USD: Too soon to be chasing the dollar lower

The DXY dollar index rebounded from the range lows at 99.40 yesterday, showing that the dollar is not quite ready to make a sustained break lower just yet. The two factors providing near-term support are higher energy prices and rising 30-year Treasury yields. Both of these, should they extend, could put a September hike from the Federal Reserve back on the agenda. On the former, news that Washington seemingly has little interest in extending the 60-day ceasefire with Iran has seen oil and gas prices creep higher again. In which direction the next big leg for energy prices emerges is anyone's guess. But higher energy is a dollar positive – both through US energy independence and the Fed's reaction function.

Regarding long-end yields, ING's Rates Strategy team discusses the market here. The fact that 30-year US Treasury swap spreads have not widened suggests that it isn't fiscal concerns driving the move. More compelling is the heavy investment-grade issuance from the US hyper-scalers. Here, US IG issuance has just hit a new record for August at $145bn. A big sell-off in the long-end of the Treasury market is typically bad news for emerging market currencies and risk in general. We are not quite at that point yet, but a further rise in yields may increase the pressure on the Fed to act, and this week has seen the pricing of a September Fed hike rise to 9bp from 7bp.

Today's US focus is on July PPI, weekly ADP jobs data, industrial production and housing data. PPI data is probably the most important of this second-tier data, where any upside surprise could lift short-dated US rates and the dollar.

Expect DXY to remain more supported in a 99.40-100.00 trading range.

Chris Turner

EUR: Contained

Yesterday's EUR/USD rally stalled shortly above 1.16, and investors will be reluctant to push it much higher given energy price developments and ahead of the FOMC minutes tomorrow night. Despite recent positive economic surprises in the eurozone, the fact that natural gas prices are close to their highs for the year merits some caution.

On the calendar today should be some mildly encouraging ZEW investor survey expectations and a speech by ECB Chief Economist Philip Lane. Higher energy prices are firming up expectations of a 25bp hike from the European Central Bank in September and keeping views alive of another 25bp hike by early next year.

We could see EUR/USD trade out a 1.1520-1.1580 range today. And a reminder that we have a forecast for 1.17 by the end of September on the view that the Fed does not hike and 1.18 for year-end.

Chris Turner

GBP: A little softer on the jobs data

EUR/GBP has opened up a little firmer on the release of the latest jobs data. Here is what ING's UK economist, James Smith, has to say on the data:

> **Nothing particularly earth-shattering in the latest UK jobs figures. Payrolled employment is down a touch – though this masks big differences between government (which is still actively hiring), consumer services (where job numbers are**

> **consistently falling and the pace of decline is getting worse) and the remaining private sector, which is flatlining. The unemployment rate is up a touch, though the ONS has already revealed there are temporary sampling issues with the labour force survey underpinning it (on top of the well-publicised existing problems), so I'd take that data with a pinch of salt. Private sector pay growth remains below 3%, though the latest month's data was a touch hotter. This is probably the floor for wage growth – and it is actually a touch higher than 3% when you strip out some quirks in the data. Still, the basic story is the same – the jobs market remains cool, and wage pressures are fairly minimal. It suggests little impetus for the Bank of England to hike rates this year.**

The sterling money market curve still prices 60bp of Bank of England hikes into next year. That should slowly be priced out over the next three to six months, although energy prices will have a big say on timing. Next on the UK agenda this week will be tomorrow's July CPI, where a lower year-on-year services number would again slightly favour the position of the BoE doves.

EUR/GBP looks biased to the 0.8570/80 area.

Chris Turner

CHF: Everyone's new funding friend

Low volatility is continuing to weigh on key funding currencies such as the Japanese yen and the Swiss franc. While the yen may be preferred as a funding currency because of its deeper liquidity pools, we think investors will increasingly turn to franc funding – not only for cheaper borrowing costs but also to avoid the risk of sudden yen buying intervention from Tokyo and Washington. And if investors do believe intervention is going to be effective, short CHF/JPY positions will become increasingly popular. This is not only because short CHF/JPY is one of the few ways to express a carry-positive yen view, but because the two currencies have similar investment characteristics.

As to EUR/CHF, a break towards 0.95 probably requires higher oil prices and higher interest rates across the board, where the Swiss National Bank's anchored zero rate policy leads to franc underperformance.

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Article | 17 August 2026 RATES SPARK

Rates Spark: Heavy Treasuries and tight eurozone liquidity

US Treasuries remain under pressure. It's a slow grind, but the net direction remains up in yield, and in particular in long yields. Front-end yields have been reacting lower to the weaker data. But the back end has other things on its mind. In the eurozone, the decline of excess reserves in the banking system is feeding into funding spreads. We explore

US Treasuries remain under pressure, especially the long end

US Treasuries continue to trade with a heavy tone. Likely more to come

Typically, moves above 4.65% for the US 10yr have been followed by some soothing words from the Trump administration, typically centred on an imminent resolution to the war with Iran. This time, we're not hearing the same. In fact, the latest indications are for no imminent resolution as the shaky 60-day truce came to an end. It's not big so far, but at the margin there is an ongoing upside pressure for energy prices to be anticipated.

On top of that, issuance pressure continues to churn, especially when the wider credit market duration weighted issuance from the hyper-scalers is lumped in. At the same time, we'd not overstate this effect, as credit spreads remain relatively tidy and contained.

The biggest move in recent weeks and months has been the ratcheting higher in real yields. In part aggregate issuance pressure? Sure. But actually, it's real yields moving back to more sensible levels; to the type of levels that we saw before the craziness of the great financial crisis and pandemic years that trampled real yields to the floor. Real yields where they are now is no more than a reversion to more normal rates.

Meanwhile, latest US Treasury International Capital (TIC) system data saw a $72bn net liquidation of US Treasuries by foreigners for June. Japan, China and some custodial centres were net sellers, although of note, Canada, Belgium and Switzerland were net buyers.

These are quite volatile data. In the past three months there has been net selling of $56bn by foreigners, while over the past 12 months there has been net buying of $205bn. Overall net foreign inflows into the US when equities are included remain strong though, at $173bn for June. And at $134bn when banking and short-term flows are included (meaning these saw moderate outflows).

The ongoing tightening of liquidity conditions in the eurozone banking system

In the Eurozone, we note that money-market liquidity conditions are tightening. As the European Central Bank's bond portfolios run off, excess reserves in the banking system have fallen to €2.16tn, down around €300bn this year alone.

This has been feeding through to funding spreads, but the picture remains more nuanced. In unsecured short-term markets, the overnight ESTR is now at its widest level versus the ECB deposit facility rate since the first half of 2021. Further out, 6m and 1y Euribor-OIS spreads are broadly in line with year-to-date averages, but the 3m looks slightly elevated by around 2bp, though it was even wider in July.

Banks' recourse to the ECB's weekly liquidity-providing operation stands at €16.5bn, down from a local peak near €22bn in early August. That is not materially above the mostly €11bn–€18bn weekly allocations seen so far this year. Overall, conditions continue to look ample.

Still, excess liquidity will keep shrinking as the ECB lets its bond portfolios roll off, gradually tightening conditions further. That does not mean overall ECB balance sheet reduction will continue in lock-step. One takeaway from the ECB's late-July bank treasurer survey was that banks intend to hold significant reserve buffers above their minimum requirements. Since the ECB is effectively the sole provider of reserves, stabilising liquidity (and therefore the balance sheet) will eventually require greater use of its liquidity-providing operations. The ECB itself sees these operations as an integral part of day-to-day liquidity management going forward.

Another survey takeaway, however, was that banks still generally prefer market funding, while

ECB funding retains some stigma. This points to tensions ahead: at some stage someone will have to move first and tap the ECB, and some repricing may still be needed to provide that initial nudge. Timing is hard to pin down, but many already seem to be eyeing early 2027.

More importantly, tighter conditions should push secured funding rates closer to the ECB's main refinancing rate — for overnight government GC rates, that is still a little over 10bp relative upside. For broader bond spreads further out the curve, we focus less on the ECB balance sheet size, or even excess reserves, which should stabilise at some point, and more on ECB bond holdings relative to outstanding securities.

The ECB share will continue to shrink for some time as a structural bond portfolio to offset the crisis portfolios still looks distant, and even more so as government issuance is increasing. The ECB's share is also one of the inputs that generally feeds into the modelling of fair value levels of Bund valuations versus swaps, for instance, and therefore one factor that underpins longer-run structural cheapening views for Bunds.

Tuesday's events and market view

The initial focus on Tuesday will be on the UK's jobs data. Elsewhere in Europe, we will be watching Germany's ZEW indicator as well as another speech by the ECB's chief economist Lane, this time on "Monetary Policy in a Geopolitically Fragmented World."

The US publishes, among other things, the import and export prices, housing start numbers and the industrial production data for July.

Primary markets are becoming more active. Germany has mandated banks for a syndicated 30y bond tap. In the broader EUR Sovereign, Supranational, and Agency markets, we have also seen mandates from Germany's Rentenbank (new 7y benchmark) and the KfW (new 3y green). Elsewhere, the UK will auction £4bn in 10y gilts.

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Article | 17 August 2026 COMMODITIES DAILY

The Commodities Feed: Oil near $90 on escalating Middle East risks

Oil remains supported near $90/bbl by Middle East tensions and attacks on vessels in the Strait of Hormuz

ICE Brent prices remain supported by renewed fighting in Lebanon and attacks on vessels in the Strait of Hormuz

Energy - Brent near $90/bbl on supply risks

ICE Brent traded just below $90/bbl in early Asian trading, extending Monday's gains. Prices remained supported by renewed fighting in Lebanon and attacks on vessels in the Strait of Hormuz, raising concerns over regional supply disruptions and complicating prospects for a US-Iran deal. Several vessels, including ships linked to Abu Dhabi National Oil Co., were reportedly targeted in the waterway late last week.

Speculative positioning turned more bullish. Money managers increased their net long position in ICE Brent by 76,026 lots to 240,748 lots as of last Tuesday, the largest bullish position since early June 2026. The increase was primarily driven by fresh long positions, with gross longs rising by 51,818 lots week-on-week. In NYMEX WTI, net longs increased by 2,665 lots to 103,715 lots.

Meanwhile, US drilling activity continued to expand**.** The US oil rig count rose by one to 455 active rigs last week, marking a third consecutive weekly increase, according to Baker Hughes.

The count is now 43 rigs higher than a year ago and at its highest level since May 2025. Drilling activity has trended higher since the start of the US-Iran conflict in late February. The EIA estimates US crude oil production will average 13.8mb/d in 2026, up from 13.6mb/d in 2025, before increasing further to 14.2mb/d in 2027.

Metals – Copper rally extends on supply tightness

LME copper rose 1.7% this morning to a record high of $14,396/t, extending its rally for a third session and marking a seventh consecutive week of gains. The cash/3M spread widened to a backwardation of $518.5/t, the strongest since October 2021, highlighting acute near-term supply tightness.

LME inventories fell for a 42nd consecutive session to 204,975 tonnes, their lowest level since February. Continued flows to the US and China, where prices trade at premiums to the LME, have drained stocks, while nearly half of remaining inventories are already earmarked for withdrawal.

On the supply side, Chile's copper commission Cochilco expects national copper output to fall 2.6% year-on-year to 5.3mt in 2026, reflecting weaker production from Codelco and BHP operations. Copper is now up around 16% year-to-date.

Speculative positioning remains supportive, with money managers increasing net long COMEX copper positions by 3,084 lots to 80,880 lots, the highest since February 2021. In precious metals, net long COMEX gold positions rose by 9,470 lots to 141,868 lots, the highest since September 2025, while net long COMEX silver positions edged lower by 755 lots to 10,312 lots.

Agriculture – Black Sea disruptions hit Ukraine grain exports

Ukraine’s grain exports remain under pressure as the Black Sea corridor stays closed. Data from the Agriculture Ministry showed grain exports reached just 590kt during the first 12 days of August, around 30% of the pace needed to meet demand. While rail and Danube routes are helping to offset some disruptions, they are unlikely to fully compensate for the loss of Black Sea access. The Danube route is also facing drought-related constraints, although capacity could rise to around 1.5mt per month by year-end.

Russian grain sales continue to strengthen**.** Rosstat data shows agricultural organisations sold 5.4mt of grain and legumes in July, up 9.1% year-on-year. Cumulative sales over the first seven months of 2026 rose 24.2% YoY to 32.8mt, led by wheat sales, which increased 28% YoY to 21.8mt. Corn sales reached 3.8mt, up 21% YoY. Meanwhile, grain inventories held by agricultural organisations fell 9% YoY to 24.7mt at the end of July, including wheat stocks of 18.7mt (-6.3% YoY).

Speculative positioning was mixed across major grain markets. Money managers increased their net short position in CBOT wheat by 7,615 lots to 31,401 lots, extending bearish bets for a second consecutive week despite recent price gains. In CBOT corn, net longs fell by 15,176 lots to 166,770 lots, driven largely by an increase in gross short positions. Soybean net longs also declined for a second straight week, falling by 24,104 lots to 101,362 lots as gross shorts increased.

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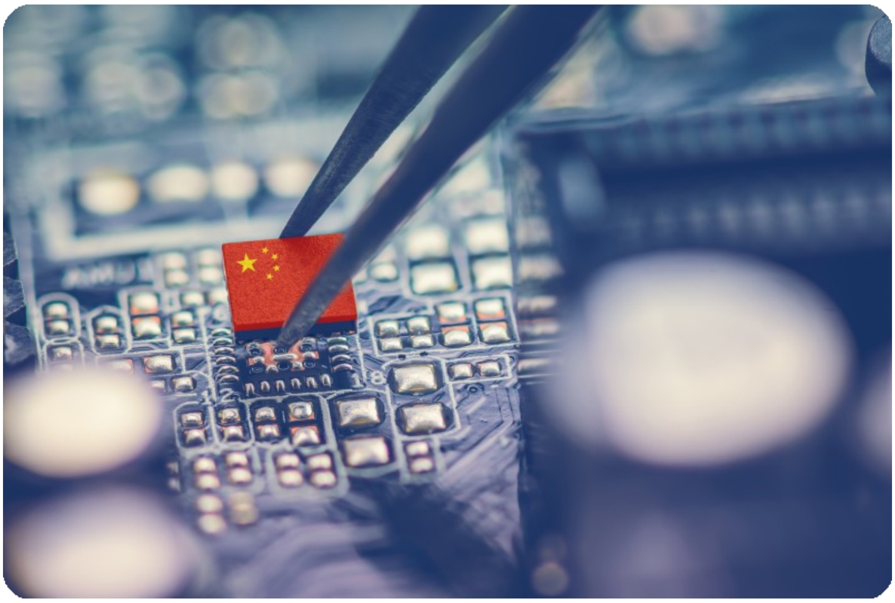
Article | 17 August 2026 CHINA

China’s growth imbalance worsened with domestic activity slowing in July

We had another month of disappointing data in July as domestic activity fell short of forecasts across the board. The NBS attributed weather effects for the miss, but data has generally been soft since the second quarter. China's K-shaped divergence continues to widen, and risks to the growth outlook remain balanced to the downside



Hi-tech investment is one of the few bright spots in China's investment data

Fixed asset investment growth continues to underwhelm

Fixed asset investment (FAI) dropped to -6.7% year-on-year, year-to-date over the first seven months of the year, down from -5.7% YoY in the first half of 2026. The reading once again undershot market expectations (market: -6.2%, ING: -6.3%) and marked the lowest level since April 2020.

There’s very little in terms of silver linings in the investment data. Hi-tech investment is the only category looking decent, accelerating a second consecutive month to 5.0% YoY ytd, up from 4.6% YoY ytd. Rail, ships, and aerospace (18.7%) continues to outperform on an industry level, followed by textiles (7.9%) and computers and communications (7.8%).

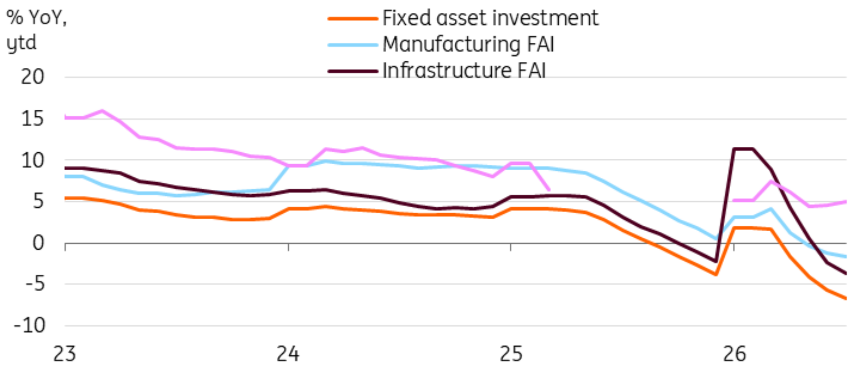
Everything else looks pretty soft. Manufacturing (-1.7%), infrastructure (-3.6%), and real estate

(-19.2%) year-to-date FAI all fell further into contraction territory in July. Auto sector investment fell -5.3% YoY ytd even amid strong exports, as competition strengthens and domestic auto demand slows.

Private sector investment remains a major drag, down -9.4% YoY ytd, while public sector investment also slowed further to -3.3% YoY ytd.

The July Politburo meeting noted a goal to accelerate the pace of fiscal expenditures and the use of bond proceeds. This could signal faster project approvals in the second half of the year, after we saw a sharp slowdown of investment so far this year. If this objective is achieved, it'll be first seen in public-sector-led investment. Whether that is enough to help FAI growth overall bottom out in the coming months remains to be seen.

Hi-tech FAI the lone bright spot amid broad-based deceleration of investment



Sources: CEIC, ING

July retail sales disappoint as consumption stagnates

Retail sales failed to build on the small recovery of last month, falling to 0.6% YoY in July, down from 1.0% YoY in June. This fell well short of market expectations (market: 1.5%, ING: 1.7%). Year-to-date, retail sales have grown by just 1.2% YoY.

We discussed in last month's report several subcategories are creating a substantive drag on retail sales growth, and they further worsened in July.

Amid China's EV transition, we saw both a sharp drop in auto sales (-17.0%) and petroleum (-7.6%).

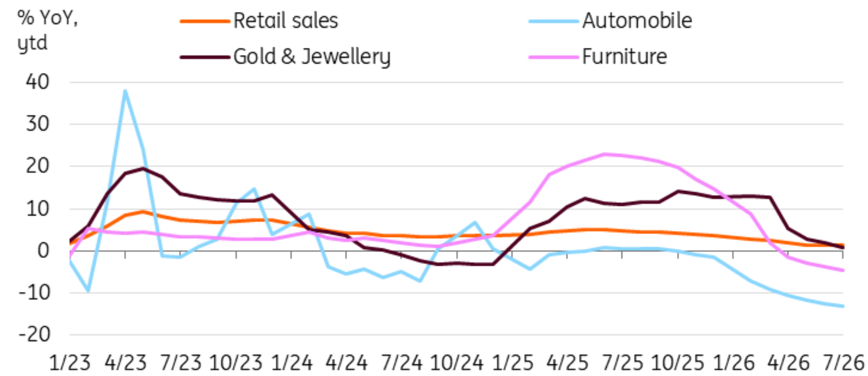
Furniture (-8.8%) and building and decoration materials (-14.2%) also saw steeper declines in July, though household appliances (-1.9%) saw a smaller contraction amid the continued weakness of the property market.

Finally, gold and jewellery sales fell sharply by -10.1% YoY as retail buying interest waned amid the gold price slump. Next month's data will be interesting to see if the recovery of gold prices in August will translate to stronger gold and jewellery sales.

Weak consumer confidence and the impact of previously front-loaded consumption via the trade-in policy continue to drag growth.

Markets may have been disappointed at a lack of tangible policy support for consumption after July's Politburo meeting. While boosting consumption remains an important medium-term goal, we haven't seen too much in terms of stimulus to shore up near-term spending. Resources continue to be concentrated in the tech race rather than boosting domestic consumption.

Three forces are dragging China's consumptions beyond simply soft confidence



Sources: CEIC, ING

Industrial production slows by more than expected

Industrial production rose 4.5% YoY in July, slowing from 5.3% in June and falling short of forecasts for a smaller moderation (market: 5.0%, ING: 5.0%). This brought year-to-date industrial production growth to 5.3% YoY, slightly lower than the 5.4% recorded in the first half, but still relatively resilient compared with other domestic activity indicators.

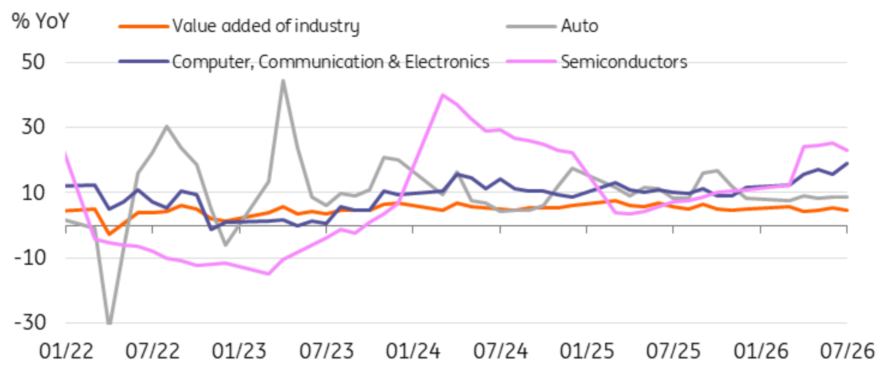
Manufacturing continued to outperform the headline, growing 5.5% YoY in July, while high-tech manufacturing accelerated to 16.9% YoY, up from 14.1% in June. This reinforces the structural theme that China's industrial growth is increasingly being driven by industrial upgrading and high-tech manufacturing, the strategic priorities for the country.

Looking at the outperforming sectors, strength remained concentrated in high-tech manufacturing sectors. On the VAI side, computer, communication and other electronic equipment rose 19.1% YoY, making it the strongest major sector, followed by rail, ships and aerospace (13.6%), and special equipment (12.6%).

The product-level industrial production data also point to continued strength in new economy sectors. Industrial robots rose 30.2% YoY, new energy vehicles rose 29.9% YoY, and semiconductor integrated circuits rose 20.7% YoY, This supports the view that the industrial cycle is being increasingly supported by robotics, semiconductors, NEVs and higher-end manufacturing.

In contrast, traditional property and infrastructure-linked sectors remained weak. Cement output fell -11.6% YoY, steel products fell -4.1% YoY, and flat glass declined -3.6% YoY, underscoring the continued drag from the old property and construction-related industrial cycle.

Industrial activity continues to outperform amid solid external demand and industrial upgrading themes



Sources: CEIC, ING

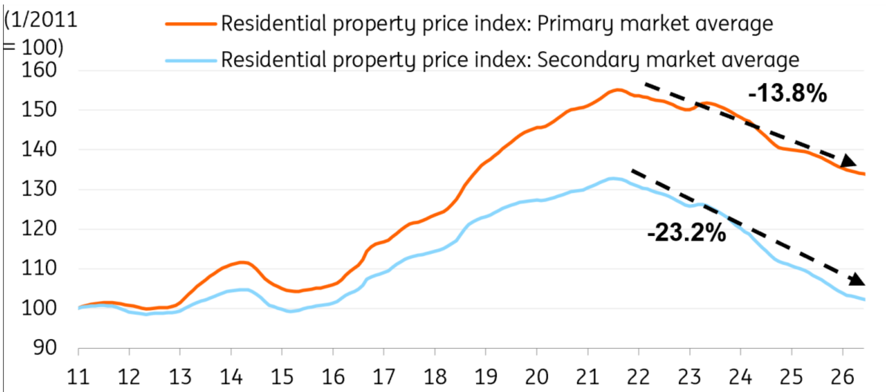
Property prices yet to bottom but another month of stabilisation in tier 1 cities

China's National Bureau of Statistics released its 70-city sample of property prices for July. New home prices fell by -0.18% month-on-month, while used home prices dipped by -0.29%. In the past few months, the monthly decline in prices has been relatively small, but we have yet to confirm a bottom for the overall market.

The city-level breakdown showed that 23 of 70 cities saw new home prices stabilise or pick up in July, which was a 15-month high. However, only 8 of 70 cities saw secondary market prices pick up in July, marking a five-month low. We have argued that secondary market prices are more important, given the impact on household balance sheets. In the secondary market, prices were generally stable or rising in China's tier 1 cities. Any stabilisation of property prices would likely start from the core.

As expected, property investment continued to slump, dropping to -19.2% YoY ytd. Investment looks likely to remain an overhang, as inventories remain elevated and prices have yet to confirm the bottom. As long as investment continues to drop, local governments may also find it hard to raise revenue via land sales.

70-city property prices continued to slide in July



Sources: CEIC, NBS, ING

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COMMODITIES, FOOD & AGRI

Could copper lose its tariff premium?

Copper has rallied sharply on expectations of US import tariffs, as traders rush metal into the US and physical markets tighten. With prices back near record highs, any policy disappointment could put that tariff premium to the test

Monthly US copper imports surged to a 12-year high of more than 200,000 tonnes in July ahead of potential tariffs

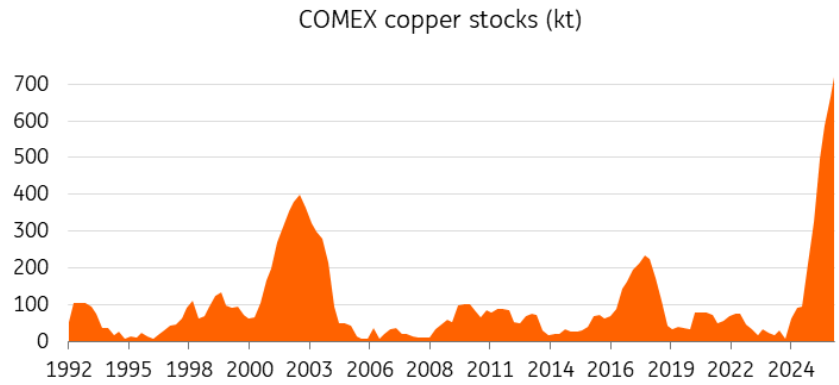
Copper is trading above $14,000/t, close to its record high. At the same time, LME inventories have fallen further, and the cash-to-three-month spread has moved deeper into backwardation, highlighting increasingly tight physical market conditions.

In our June note, What's next for US copper import tariffs?, we examined the possible policy outcomes. Since then, traders have continued to position for potential tariffs, with the impact becoming increasingly visible in trade flows, inventories and physical market indicators.

Tariff expectations remain a key market driver

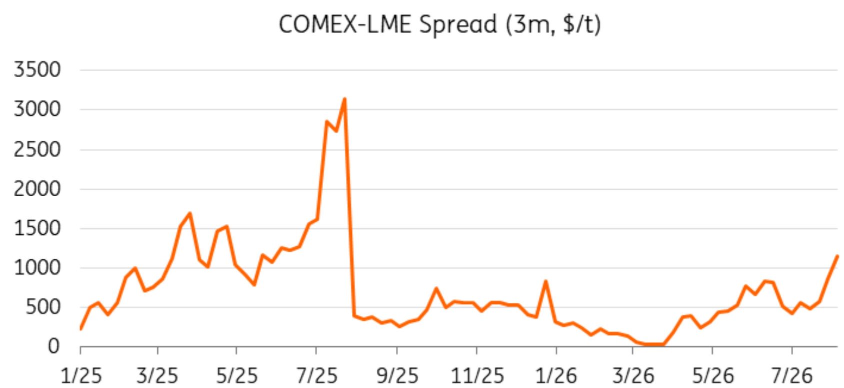
Copper shipments into the US have accelerated ahead of a potential tariff decision, pushing COMEX inventories to a record high. US copper imports exceeded 200,000 tonnes in July alone – the highest monthly level in at least 12 years.

COMEX inventories reach record highs



Source: COMEX, ING Research

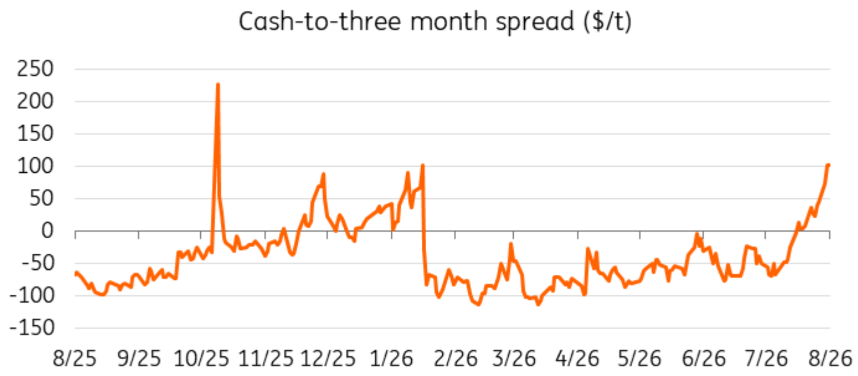
Wide COMEX-LME spread continues to attract copper into the US



Source: COMEX, LME, ING Research

At the same time, the London copper market is showing increasing signs of tightness. LME inventories have fallen to a five-month low, while the cash-to-three-month spread has widened to around $120/t backwardation – up from about $40 a week ago and the widest since October, pointing to a squeeze on short-term supplies.

Nearby copper market tightens



Source: LME, ING Research

LME inventories continue to decline

Source: LME, ING Research

Can tariff expectations continue to drive prices?

The recent rally is not solely tariff-driven, however.

Mine supply growth remains constrained, while low treatment charges continue to point to tight concentrate availability. Demand linked to electrification, power grid investment and AI infrastructure also remains supportive. We continue to expect the global refined copper market to record a deficit of around 35k tonnes in 2026.

Much of the recent rally reflects expectations that tariffs will be implemented broadly as expected. But if the final measures are delayed, narrower than expected or exempt refined copper, part of the recent rally could unwind. Stockpiling into the US would slow, inventory flows would begin to normalise, and some of the current tightness outside the US would ease. Any correction could be amplified if investors unwind positions built on tariff expectations.

The tariff decision is only part of the story

The prospect of US tariffs has already reshaped the copper market. Inventory flows have shifted, physical conditions have tightened, and prices have moved back towards record highs.

Much of that repricing has already happened. Once the tariff decision is announced, the market's focus is likely to shift back to underlying fundamentals.

That would not necessarily change the broader outlook for copper. Any correction would be more likely to reflect a reassessment of tariff expectations than a deterioration in the underlying fundamentals.

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SUSTAINABILITY

Global sustainable finance 2026: growth on the horizon

Resilient issuance keeps the global sustainable debt market on track for growth in 2026, despite geopolitical uncertainty, policy shifts and pockets of saturation. But the ingredients to the 'sustainable debt cocktail' are still changing, with some products and regions seeing stronger momentum

We expect the global sustainable debt market to grow in 2026 but we see divergences among regions and products

Growth set to return despite regional divergence

At the halfway mark of the year, we still expect the global sustainable finance market to return to growth for the full year, surpassing 2025 levels after a modest decline in 2025 from 2024.

Global sustainable debt issuance (excluding asset-backed securities, or ABS) totalled $846bn in the first half of 2026. Although this is a bit lower than the first-half issuances in 2025, it remains comfortably within the healthy $800bn-900bn range recorded in the first halves since 2022. That shows considerable market resilience, especially given the ongoing Middle East tensions and subdued sustainability policy environment in the US.

Looking at the full year of 2026, we expect resilience to yield growth, with the global sustainable finance market reaching $1,621bn of issuance. This will be driven by many factors:

- Middle East tensions make a stronger case for enhanced energy security, affordability,

and industrial competitiveness in Europe through clean energy buildout.
- The rush to build AI-driven data centres – and the growing scrutiny of their sustainability – is expected to drive sustainable debt issuance in the sector globally.
- The consequent need to enhance digital and power infrastructure to support AI development and electrification will spur sustainable financing.
- Many corporates remain committed to decarbonisation and managing climate risk.
- Governments are further leveraging sustainable finance as a tool to fund decarbonisation efforts.
- Regulation and standardisation provide clarity and ease.

Global sustainable debt issuance, historical and forecast

$bn

	Bonds					Loans					Total
	Green	Sustaina-bility	Social	Sust-linked	Transition	Green	Sustaina-bility	Social	Sust-linked	Transition	
2020	290.4	181.3	155.1	10.9	2.3	93.2	0.0	0.2	143.0	0.3	876.7
2021	601.6	249.3	237.2	109.2	3.8	117.8	4.7	0.1	530.1	0.1	1,853.8
2022	553.0	193.3	154.7	88.0	3.3	138.9	6.2	7.3	474.6	0.5	1,619.8
2023	611.7	202.5	155.9	70.0	2.8	164.6	12.4	4.4	244.4	0.6	1,469.3
2024	648.3	256.3	170.2	39.1	20.9	216.6	9.2	9.3	295.9	2.0	1,667.8
2025	669.2	271.5	138.6	33.3	11.7	247.8	19.4	8.5	139.5	0.0	1,539.4
2026F	*700.0*	*290.0*	*150.0*	*25.0*	*15.0*	*255.0*	*15.0*	*9.0*	*160.0*	*2.0*	*1,621.0*

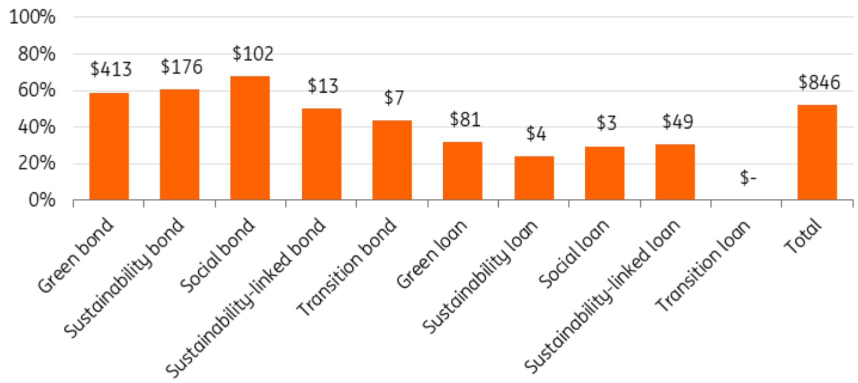
Source: ING Research, Bloomberg New Energy Finance (BloombergNEF). Note: Issuance data excludes asset-backed securities (ABS).

We stand by these forecasts for the year, as we already see most segments beyond the halfway point in terms of reaching these targets. The public market side, in particular, has 55-60% of the forecast already issued.

While the private market side appears to be lagging, we note that there may be some under-reporting within the private market side, and these figures may not reflect full issuance levels.

Global sustainable issuance in the first half of 2026 as a % of full-year forecast

$bn



Source: ING Research, BloombergNEF. Note: Issuance data excludes ABS.

Nevertheless, as noted in our market outlook in February, our expectations continue to vary across regions.

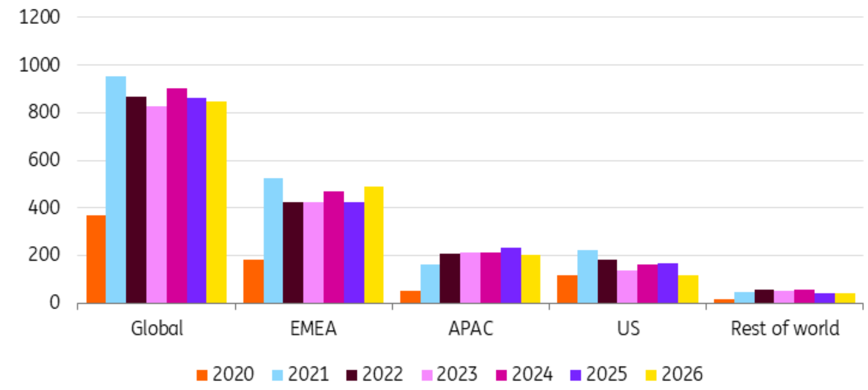
EMEA is leading sustainable debt issuance in 2026. Issuance in both the first and second quarters exceeded 2025 levels, driving a strong first half of the year. Much of this growth came from the public sector, with government agencies, sovereigns, and supranationals issuing a record $245bn in the first half – 50% higher than in 2025. Financial institutions also contributed to the momentum, increasing issuance by 36% year-over-year (YoY).

In **APAC**, issuance levels have been mostly steady over the past five years, despite first-half 2026 volumes being slightly lower than in 2025. That small dip is mainly due to softer issuance from financial institutions following a record first half in 2025. Even so, APAC is well positioned for growth, with both governments and companies continuing to advance decarbonisation goals through sustainable financing.

In the **US**, policy uncertainty continues to weigh on sustainable financing. First-half 2026 issuance was about 40% lower than in both 2024 and 2025, although it remained slightly above 2020 levels. Data centres, renewable energy, and related infrastructure have emerged as the engine of sustainable financing. We expect these sectors to maintain momentum through 2026 and 2027. For data centres, however, growing scrutiny of community impacts could lead to more selective, but ultimately higher-quality, sustainable debt issuance.

Sustainable debt issuance by region in the first half of each year

$bn



Source: ING Research, BloombergNEF. Note: Issuance data excludes ABS.

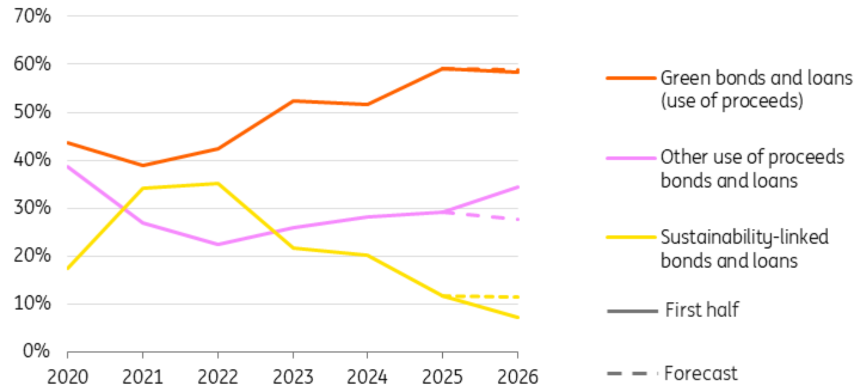
Green bonds and loans are still king

By product type, we expect green bonds and green loans to remain dominant in the global sustainable debt market, together accounting for around 60% of total issuance this year, up from 50% in 2024 and 40% in 2021. This reflects growing market preference for green use-of-proceeds instruments as credible tools for financing environmental projects.

Beyond green instruments, some other use-of-proceeds products, namely social bonds and sustainability bonds, also saw higher first-half issuances YoY, despite accounting for a much smaller market share.

Sustainability-linked bond and loan issuance remained under pressure in the first half of 2026, declining 54% YoY to just over $60bn. Their market share has fallen from 35% in 2022 to just over 10% in 2025, as issuers with green investment plans increasingly opt for green instruments. However, as noted in our previous outlook, sustainability-linked loan volumes are likely understated, as some private transactions may not be captured in sustainable debt databases. Despite accounting for only 7% of issuance in the first half of 2026, we expect the share of sustainability-linked debt to stabilise above 10% for the year.

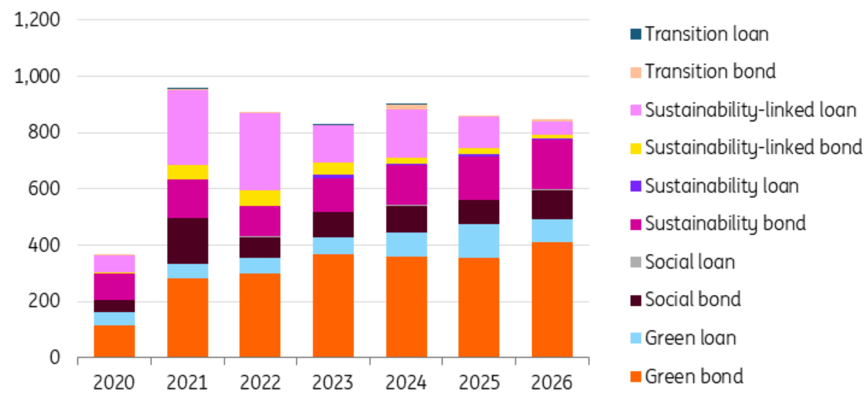
Share of sustainable debt products in total global issuance



Source: ING Research, BloombergNEF. Note: Issuance data excludes ABS.

Global sustainable debt issuance by product in the first half of each year

$bn



Source: ING Research, BloombergNEF. Note: Issuance data excludes ABS.

Corporates to remain soft as public issuances pick up

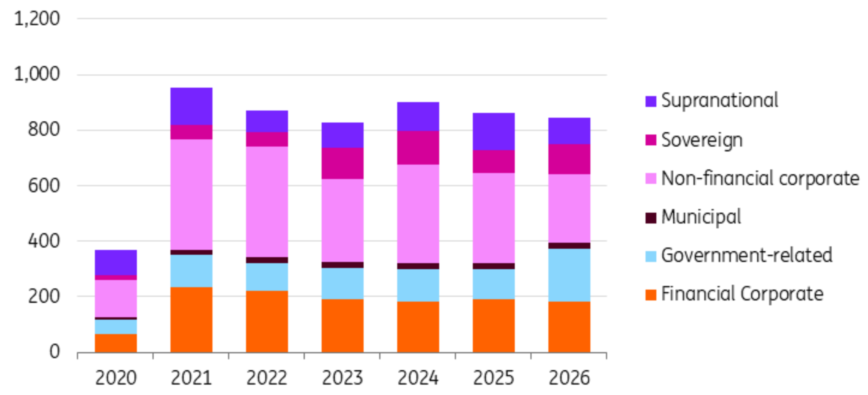
Issuances from non-financial corporates have continued to weaken in 2026. First-half issuance totalled $250bn, the lowest level since 2021. The slowdown was driven largely by weaker-than-expected issuance from European corporates, alongside an anticipated decline in the US amid policy uncertainty.

In Europe, the weakness may reflect a slightly saturated sustainable debt market, mixed with an environment of ease of issuance in general and a lack of economic benefit for going green (i.e. no 'greenium' at this time). This is temporary, as, historically in times of higher volatility within markets, it's the sustainable bond products that outperform and hold firmer. Naturally, standardisation will continue to keep sustainable issuance effort-free, and the likes of the Green Bond Standard, while not intended to be adopted by all issuers, continue to drive high-quality issuance.

In contrast, issuances from government agencies rose 73% YoY in the first half of 2026. The biggest contributor to that increase is a record $58bn of issuance from German state-owned investment and development bank KfW, with its second-highest first-half issuance being $25bn. The bank has an ambition of investing in competitiveness through environmental action. In APAC, governments in Australia and Mainland China also saw issuance increases.

Global sustainable debt issuance by issuer type in the first half of each year

$bn



Source: ING Research, BloombergNEF. Note: Issuance data excludes ABS.

For the rest of 2026, we expect the public sector to be the primary driver of global sustainable debt issuance. Corporate issuance is likely to remain soft and end the year below 2025 levels. However, corporates still have significant sustainable financing needs, as strategic segments such as AI data centres, digitalisation, innovation, and critical infrastructure will increasingly demand energy efficiency and decarbonisation.

There would also be growing regulatory and stakeholder focus on data centre sustainability. The EU is mandating energy reporting and green financing rules for data centres, while actively developing performance standards and efficiency labels. In the US, growing scrutiny of data centres' environmental footprint could lead to a more disciplined approach to sustainable finance.

Conclusion

We expect global sustainable debt issuance to stay relatively strong throughout 2026, supporting our forecast for a return to market growth this year. However, regional, product and issuer dynamics continue to diverge. The sustainable debt cocktail is poised to get bigger, but its ingredients are still evolving.

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